

FEDERAL MARITIME COMMISSION

MARINE TRANSPORT LOGISTICS, INC.,

Complainant,

v.

CMA CGM, S.A.,

Respondent.

Docket No. 22-23

Served: June 27, 2025

BY THE COMMISSION: Louis E. SOLA, *Chairman*;
Rebecca F. DYE, Daniel B. MAFFEI, Max S. VEKICH,
Commissioners.

Order Affirming Initial Decision

This case is before the Federal Maritime Commission (Commission or FMC) on exceptions to the December 18, 2024, Initial Decision (Decision) of the Administrative Law Judge (ALJ) denying relief to complainant Marine Transport Logistics, Inc. (MTL) in a case it brought against respondent CMA CGM, S.A. (CMA). MTL alleged that CMA, an ocean common carrier, had violated 46 U.S.C. § 41102(c) in connection with the handling of eight containers, five of which were to be delivered to Ukraine but diverted after the Russian invasion in February 2022. As discussed below, we deny the exceptions and affirm the ALJ's Decision. MTL

fails to show that the ALJ's merits determinations were incorrect or that other decisions as to discovery and evidentiary matters were beyond the ALJ's discretion.

The scope of MTL's exceptions is not entirely clear, although they were filed by the attorney who has represented MTL throughout this proceeding. CMA's position seems to be that MTL's exceptions relate only to certain discovery and evidentiary decisions by the ALJ. And it is true that the exceptions do not engage in any clear, organized, or comprehensive way with the ALJ's substantive determinations as to the elements of a claim under 46 U.S.C. § 41102(c). It generally appears that MTL is not appealing the ALJ's substantive determinations on the existing record, but instead focusing on the discovery and evidentiary decisions, which MTL presumably believes would, if decided differently, have led to different conclusions on the merits.

However, the exceptions also include statements suggesting that MTL believes it has already shown that CMA violated section 41102(c). Therefore, because of the possibility that MTL is objecting to the ALJ's substantive determinations to at least some extent, it is appropriate to review them. The ALJ determined that MTL had failed to show three of the five required elements of a section 41102(c) claim: (1) that CMA's conduct was a normal and customary practice; (2) that it was unreasonable, except as to one container; and (3) that it was the proximate cause of damages to MTL. Those determinations are well-supported and are upheld.

The great majority of MTL's exceptions focus on the ALJ's discovery and evidentiary decisions. While MTL's claims are not easily understood, they appear to be in essence that the ALJ erroneously: (1) declined to impose an adverse inference on CMA for failing to produce three documents; (2) granted CMA's motion to strike material about alleged lost profits that MTL submitted for the first time with its reply brief; and (3) refused to either reconsider that strike order or reopen discovery. However, those decisions were

well within the ALJ's considerable discretion to manage discovery and evidentiary matters. Thus, we uphold them as well.

I. BACKGROUND

A. Procedural history

In 2022, MTL, an ocean transportation intermediary, filed a complaint alleging that CMA-CGM (America), LLC (CCA), a vessel-operating common carrier, had violated 46 U.S.C. § 41102(c). Complaint (Doc. 1) (Sept. 7, 2022); Decision (Doc. 77) (Dec. 18, 2024) at 1, 5-6. CCA's French parent company CMA was later substituted as the respondent. *See* Verified Amended Complaint (Doc. 12) (Dec. 9, 2022); Order Granting Joint Motion for Substitution of Respondents and Modification of Deadline for Answer (Doc. 18) (Dec. 29, 2022).

Discovery began in early 2023. However, in March 2023, CMA moved for an extension of time and for compliance with French law and the Hague Evidence Convention, arguing that CMA could not provide documents in response to pending requests until CMA had obtained the approval of French authorities under French law. *See* Decision at 2. The ALJ denied CMA's motion and CMA appealed to the Commission. *See id.* The Commission denied the appeal. *See* Order Affirming Denial of Motion (Doc. 35) (Oct. 30, 2023). Discovery proceeded in late 2023 and early 2024, with a final discovery deadline of April 16, 2024. *See* Decision at 2, 34.

Merits briefing took place in May and June 2024. *See* Decision at 2. In July 2024, CMA moved to strike material about alleged lost profits that was submitted for the first time with MTL's reply brief. *Id.* at 2-3. In October 2024, the ALJ granted the motion to strike. *Id.* at 3; Order on Respondent's Motion to Strike (Doc. 71) (Oct. 30, 2024) (Order on Motion to Strike). The material struck was about one page of argument and three exhibits: a transaction report purportedly related to Kodryanka, a client MTL claimed to have lost; a profit statement purportedly related to Almotwasit, another

client MTL claimed to have lost; and a certification for those two exhibits. *See* Order on Motion to Strike at 1-2; Decision at 35. The ALJ noted that MTL had failed to produce such lost-profits evidence in discovery, even though CMA had requested it. Order on Motion to Strike at 2-3. And the ALJ found no cause to disregard the usual rule that arguments not presented in the initial brief are waived. *Id.* In particular, the ALJ found that MTL's complaint that CMA had produced 20,000 documents on the discovery deadline did not excuse MTL's failure to provide evidence of damages that was in its own control. *Id.* at 3.

MTL then filed a motion for reconsideration of the strike order or to reopen discovery, which the ALJ denied in November 2024. *See* Decision at 3; Order on Complainant's Motion for Reconsideration or to Reopen Discovery (Doc. 75) (Nov. 12, 2024) (Order on Motion for Reconsideration). As to reconsideration, the ALJ found that MTL had failed to meet the high standard to prevail on such a motion. Order on Motion for Reconsideration. MTL's renewed argument that CMA's production of documents on the discovery deadline had prevented it from providing the relevant material earlier was unavailing. *Id.* at 2-3. The ALJ found that MTL could have sought more time to prepare its opening brief, despite an earlier ALJ order that no further motions could be filed, noting that CMA had obtained an extension of time to complete its discovery despite the ALJ order. *Id.* And in any case, the ALJ again found, any difficulties presented by the large CMA production could not justify MTL's failure to provide lost profits evidence that was in its own control. *Id.* at 3. The ALJ also denied MTL's motion to reopen discovery, noting that MTL had failed to explain what new material it would seek, and that its request came too late, as it had failed to make such a request in its opening or reply briefs. *Id.*

The ALJ issued the Initial Decision in December 2024. *See* Decision. MTL timely filed exceptions, and CMA timely filed a response. *See* Exceptions of the Complainant (Doc. 78) (Jan. 8, 2025) (Exceptions); Respondent's Response to Complainant's

Exceptions to the Initial Decision (Doc. 79) (Jan. 30, 2025) (Response).

B. The ALJ's Initial Decision

The ALJ explained that the case focused on MTL's claims that CMA had failed to observe just and reasonable practices in its handling of eight containers during the period of 2020-2022, in alleged violation of 46 U.S.C. § 41102(c). *See* Decision at 3, 7, 18-21. Specifically, the shipments at issue were: (1) five containers shipped from New York and intended for Odesa, Ukraine, but diverted to Constanta, Romania because of the Russian invasion, and eventually delivered to Bremerhaven, Germany; (2) one container sent to Libya that was "rolled" (not carried as planned) because it contained a jet ski, in violation of European Union (EU) rules; and (3) two containers that were rolled for other reasons. *Id.* at 3. MTL's complaints were basically that CMA had failed to follow its instructions or to communicate adequately, leading to delays and increases in demurrage charges (late fees), as well as lost profits and reputational damage. *Id.* at 3-4. CMA responded that MTL had failed to show from these specific situations that CMA had any unreasonable practice under the statute. *Id.* at 4-5. CMA argued in particular that delays of the Ukraine shipments were the result of regional disruptions caused by the Russian invasion, and that the jet ski could not be delivered to Libya because of customs restrictions at the trans-shipment point in Malta. *Id.*

1. Findings of fact

The ALJ made fairly extensive findings of fact. *See* Decision at 5-22. The ALJ found that MTL is a New York corporation that primarily exports used automobiles from the United States, including through service contracts with CMA. *Id.* at 6.

The ALJ's findings focused on the five Ukraine shipments. *See* Decision at 7-17. In late 2021 and early 2022, MTL arranged those shipments on behalf of CIS Development Foundation, Inc.

(CIS), a non-profit that sends humanitarian assistance to Ukraine, charging CIS \$11,525 for that service. *Id.* at 7-8. But following Russia's February 2022 invasion, Ukrainian ports closed, and trade was disrupted. *Id.* at 8. MTL's Ukraine shipments were diverted to CMA's "force majeure port" of Constanta, Romania. *Id.* at 8-9. In March 2022, MTL requested changes of destination for the shipments to Bremerhaven, Germany. *Id.* at 11. However, the containers remained in Constanta for several months before being delivered to Bremerhaven. *Id.* During this period, extensive interactions occurred between MTL and CMA, including with regard to a change of consignee for the shipments, in light of the new destination, as well as whether the consignee would take delivery. *Id.* at 12-15. It appears that at least four of the five containers arrived in Bremerhaven in early June 2022. *Id.* at 13-15. Pickup of the containers in Bremerhaven was also delayed, apparently until early September 2022, as a result of issues related to the consignee. *Id.* at 15-16. CMA waived all storage, demurrage and detention charges for the Ukraine shipments, and MTL was not required to pay any such charges. *Id.* at 16-17.

The ALJ also made findings about the Libya shipment from 2020. *See* Decision at 17-19. That container had three used cars and a jet ski with a destination of El Khoums, Libya, and an intermediate trans-shipment point of Valetta, Malta. *Id.* at 17-18. MTL billed the shipper Almotwasit \$2,900 for the shipment in June 2020. *Id.* at 18. However, Malta is a member of the EU, and EU rules required prior authorization for shipments of boats, including jet skis, to Libya. *Id.* at 17-18. Therefore, the shipment was rolled. *Id.* at 18. The record reflects discussion between MTL and CMA about who was responsible for the problem, but it does not reflect that MTL paid any demurrage charges for the shipment. *Id.* at 18-19.

In addition, the ALJ made findings about two other MTL shipments that were rolled by CMA. *See* Decision at 19-21. With respect to a 2021 shipment, findings show the parties had a dispute between August 2021 and January 2022 regarding a late change in the applicable documentation cut-off date, from August 10 to

August 9, 2021. *Id.* at 19-20. MTL submitted its documentation on August 10 in reliance on the prior deadline and the shipment was rolled. *Id.* However, the record contains no documentation concerning charges MTL incurred because of this issue. *Id.* at 21. In addition, a 2022 shipment of used cars to Latvia was rolled, as reflected in communications between MTL and CMA in the period May 2022 to January 2023. *Id.* CMA admitted the shipment had been rolled in error and canceled all associated demurrage charges. *Id.*

With regard to MTL's claimed business losses as a result of CMA's alleged violations, the ALJ found that the record contained no tax returns, profit and loss statements, or expert testimony to substantiate any losses. *See* Decision at 22. The ALJ found that Alla Solovyeva, the principal owner of MTL, had testified that MTL had suffered unspecified damages because having containers "stuck in Bremerhaven" had resulted in the loss of \$82,000 per year in business from its customer Kodryanka, as well as reputational damage. *Id.* at 6, 22. Solovyeva also stated that MTL had suffered unspecified damages because of the loss of the customer Almotwasit in connection with the Libya jet ski problem. *Id.* at 22.

Finally, the ALJ made findings related to a container about which TMM International complained to CMA in June 2022, noting that the container had been idling in Constanta for three months rather than having been redirected to Poti, Georgia as requested. *See* Decision at 22.

2. Analysis and conclusions of law

Based on the above record, the ALJ concluded that MTL had failed to establish a violation of 46 U.S.C. § 41102(c). *See* Decision at 23-38. As an initial matter, the ALJ noted that complainants bear the burden of proving their allegations by a preponderance of the evidence. *Id.* at 23 (citing 5 U.S.C. § 556(d); 46 C.F.R. § 502.203; *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, FMC Docket No. 08-03, 2014 WL 9966245, at *14 (FMC Dec. 17, 2014)).

The ALJ outlined the statutory and regulatory basis for an alleged violation of 46 U.S.C. § 41102(c). *See* Decision at 24-26. The essence of the statutory claim in this context is that an ocean carrier has failed to observe just and reasonable practices relating to the handling of property. 46 U.S.C. § 41102(c). The Commission's Interpretive Rule governing such claims, 46 C.F.R. § 545.4, specifies five elements for a successful claim: (1) the respondent is an ocean common carrier or other covered entity; (2) the conduct alleged is "occurring on a normal, customary, and continuous basis"; (3) the conduct relates to the receipt, handling, storage, or delivery of property; (4) the conduct is unjust or unreasonable; and (5) the conduct is the proximate cause of the claimed loss. *See* Decision at 24. The Commission also has an Interpretive Rule, 46 C.F.R. § 545.5, providing specific guidance as to whether demurrage and detention charges violate section 41102(c). *Id.* at 24-26. The Rule states in part that in that analysis, the Commission "will consider the extent to which demurrage and detention are serving their intended primary purposes as financial incentives to promote freight fluidity." 46 C.F.R. § 545.5(c)(1).

The ALJ then applied these standards to the record in this case. *See* Decision at 26-37. The ALJ found that the first and third elements of a successful claim were easily met, as CMA was a common carrier and the claims at issue related to the delivery of property, *see id.* at 26, 29, so the ALJ focused on the remaining three elements.

The ALJ determined that MTL had failed to show that the conduct alleged was a "normal, customary, and continuous" practice, and so the second element was not present. *See* Decision at 26-29. The ALJ reviewed prior FMC cases in which conduct as to a small number of shipments did not amount to a normal, customary, and continuous practice in violation of section 41102(c). *See id.* at 26-27; *Crocus Investments, LLC v. MTL*, FMC Docket No. 15-04, 2021 WL 3732849, at *8-12 (FMC Aug. 18, 2021). The ALJ concluded that MTL had failed to show a normal and customary

practice: the record indicated that the Ukraine issues were caused by “a unique disruption as a result of war,” the Libya issue was caused by a violation of EU export rules, and the other rolled shipments were caused by documentation issues and an admitted CMA error. Decision at 27-28. MTL also cited the allegations in *MTL v. CMA*, FMC Docket No. 18-07, which ended in a settlement agreement, and complaints by other shippers about containers idling in Constanta in 2022. *Id.* at 28. But the ALJ found those claims to lack sufficient detail and evidentiary weight. *Id.* The ALJ also noted that in the *Crocus* case, the Commission had rejected the same type of disparate allegations as having been insufficient to constitute a normal and continuous practice when made against MTL itself. *Id.* at 29. The ALJ concluded that the record in this case reflected “unique and isolated events” as to the eight containers, not a customary practice. *Id.*

The ALJ also found that MTL had generally failed to establish the fourth element of a section 41102(c) violation, that CMA’s conduct was not just and reasonable. *See* Decision at 29-35. As to the Ukraine shipments, the ALJ found that the record at most showed delay caused by war-related diversions, with factors including changes in destinations and consignees as well as apparent errors on both sides, and that that was insufficient to show unreasonable conduct under the statute. *Id.* at 30-31. The ALJ noted that all the containers had been picked up less than seven months after the diversion and that CMA had waived all demurrage and detention charges. *Id.* at 31. As to the Libya shipment, the ALJ found that to the extent it was CMA’s practice to roll containers due to customs violations as occurred here, such a practice was reasonable. *Id.* at 31-32. The ALJ rejected MTL’s claim that jet skis were not actually prohibited, noting that MTL’s own witnesses admitted they were. *Id.* The ALJ also rejected MTL’s argument that CMA was required to advise it of the customs restriction in advance, finding it reasonable for carriers to put the burden on shippers to be aware of such restrictions. *Id.* at 32. Finally, with regard to the other rolled shipments, the ALJ found that CMA’s change of the documentation deadline for the 2021 shipment only 12 hours in advance, with no

notice to MTL other than an updated website, was unreasonable. *Id.* at 32-33. For the 2022 shipment, which CMA admitted was erroneously rolled, the ALJ found that MTL had not adequately supported its claims, and that it appeared to be an isolated incident. *Id.* at 33.

Apparently, as part of its reasonableness analysis, the ALJ rejected a request in MTL's reply brief for a negative inference that the real reason for CMA's delay in loading the containers at Constanta and not releasing them in Bremerhaven was to increase demurrage charges. *See* Decision at 33-35. MTL argued that that inference was justified because of CMA's failure to produce three emails from CMA to an agent of MTL's client Kodryanka. *See id.* at 33. The first email basically urged the agent to pick up one of the containers because demurrage and storage charges were accruing, and the latter two emails appeared to tell the agent that payment and consignee information had to be confirmed for the container to be loaded for Bremerhaven. The ALJ declined to impose the discovery sanction requested under 46 C.F.R. § 502.150(b). *Id.* at 34-35. In particular, the ALJ found that MTL had not specified a document request calling for the production of those emails; MTL admitted it had provided two of the three emails to CMA in its own earlier document production; CMA did produce 20,000 documents to MTL by the April 16, 2024, deadline; and the content of the emails themselves was merely cumulative of other evidence and insufficient to support a negative inference. *See id.* at 35.

Finally, the ALJ found that MTL had failed to establish the fifth required element of a section 41102(c) claim, that the alleged conduct was the proximate cause of its claimed loss. *See* Decision at 35-37. The ALJ noted that such losses had to be shown with "reasonable certainty." *Id.* at 35. MTL's complaint had alleged damages of \$600,000, "including loss of business to MTL." *Id.* But MTL did not detail any such damages in its opening brief, instead arguing for the first time in its reply that it had lost profits and attaching three new exhibits, which the ALJ later struck, as noted above. *Id.* at 35-36. The ALJ found the evidence that was in

the record to be too limited and speculative to establish any claimed loss with adequate certainty. *See id.* at 36-37. The ALJ emphasized that MTL had provided no tax returns, no profit and loss statements, and no expert testimony. *See id.* at 37. MTL's only supporting evidence was the deposition testimony of its owner, Solovyeva, and the ALJ found that testimony inadequate. *Id.* at 36-37. Solovyeva claimed a loss of \$82,000 per year because of the loss of MTL's customer Kodryanka, as well as the loss of unspecified other business as a result of reputational damage, and unspecified damage from the loss of business from MTL's customer Almotwasit. *Id.* But the ALJ found no adequate link shown between those claimed losses and CMA's conduct. *Id.* at 37. And the ALJ found that MTL's failure to produce documentation of its alleged loss of business in response to CMA's discovery requests, even after an ALJ order to do so, supported a negative inference that the requested material would not support MTL's claims. *Id.* The ALJ also found that the record did not show that MTL had ever paid any demurrage charges for the shipments at issue. *Id.* at 36.

II. DISCUSSION

A. Standards of review

When the Commission reviews exceptions to an ALJ's initial decision, it normally has "all the powers which it would have in making the initial decision." 46 C.F.R. § 502.227(a)(6). The Commission therefore generally reviews the ALJ's determinations de novo. *Id.*; *see also Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, FMC Docket No. 12-02, 2015 WL 9426189, at *5 (FMC Dec. 18, 2015).

However, some elements of the Decision at issue here are reviewed under an abuse of discretion standard. The Commission reviews discovery orders, including orders regarding sanctions, under that standard. *See MCS Industries, Inc. v. MSC Mediterranean Shipping Co. S.A.*, FMC Docket No. 21-05, 2024 WL 3514613, at *9 (FMC July 16, 2024); *Rana v. Franklin*, FMC Docket No. 19-

03, 2022 WL 1744905, at *4 (FMC May 25, 2022); *Kawasaki Kisen Kaisha, Ltd. v. Port Auth. of N.Y. and N.J.*, FMC Docket No. 11-12, 2014 WL 7328475, at *7-8 (FMC Nov. 20, 2014)). “In reviewing district courts’ orders on discovery, the United States Courts of Appeal apply an abuse of discretion standard because a ‘narrowly circumscribed’ scope of review is consistent with district courts’ ‘considerable discretion in managing discovery’ and their ‘broad discretion to impose sanctions for discovery violations under [Federal] Rule [of Civil Procedure] 37.’” *Rana*, 2022 WL 1744905, at *4 (quoting *Parsi v. Daiouleslam*, 778 F.3d 116, 125 (D.C. Cir. 2015) (additional citations omitted)).

In addition, evidentiary decisions including whether to grant a motion to strike are reviewed under an abuse of discretion standard. Federal appellate courts “review a district court’s ruling on a motion to strike only for an abuse of discretion.” *Hall & Associates v. EPA*, 956 F.3d 621, 629 (D.C. Cir. 2020); see *Greater Se. Cmty. Hosp. Found., Inc. v. Potter*, 586 F.3d 1, 4 (D.C. Cir. 2009) (finding no abuse of discretion in order striking a submission to a bankruptcy court).

Finally, the Commission has found that ALJ determinations regarding reparations (damages) are appropriately reviewed for abuse of discretion. See *MCS Industries, Inc.*, 2024 WL 3514613, at *10; see also *In the Matter of: Office of Fed. Compliance Programs v. Bank of Am.*, Admin. Rev. Bd., U.S. Dept. of Labor, No. 13-099, 2016 WL 2892921, at *14 (DOL Adm. Rev. Bd. Apr. 21, 2016) (like a federal appellate court, the review board will adopt the ALJ’s methodology for awarding damages if the ALJ “exercised reasonable discretion”); *In the Matter of: Larry Barnum v. J.D.C. Logistics, Inc.*, Admin. Rev. Bd., U.S. Dept. of Labor, No. 08-030, 2009 WL 564763, at *4 (DOL Adm. Rev. Bd. Feb. 27, 2009) (affirming ALJ’s damages award because substantial evidence supported it and it was not an abuse of discretion). Federal appellate courts reviewing awards of damages by district courts also generally use an abuse of discretion standard. See *Spanski Enters., Inc. v. Telewizja Polska, S.A.*, 883 F.3d 904, 909 (D.C. Cir. 2018)

(reviewing statutory damages award under the Copyright Act for abuse of discretion). The basic rationale is that “[d]amage awards are ‘findings of fact governed by Federal Rule of Civil Procedure 52(a), which will not be disturbed unless clearly erroneous.’” *U.S., For Use and Benefit of Am. Civil Constr., LLC v. Hirani Eng’g & Land Surveying, PC*, 26 F.4th 952, 959 (D.C. Cir. 2022) (quoting *Buchheit v. Palestine Liberation Org.*, 388 F.3d 346, 350 (D.C. Cir. 2004) (internal quotations omitted)).

B. The ALJ correctly found that MTL failed to establish a violation of 46 U.S.C. § 41102(c) on the current record

As noted above, MTL’s exceptions do not engage in any clear or comprehensive way with the ALJ’s substantive determinations as to the elements of a claim under 46 U.S.C. § 41102(c). Nevertheless, because of the possibility that MTL may be deemed to be objecting to the ALJ’s substantive determinations, it is appropriate to review them. The ALJ’s determinations are well-supported, and we uphold them.

The ALJ determined that MTL had failed to meet its burden to establish three of the five elements required to show a violation of 46 U.S.C. § 41102(c) under the Commission’s rule at 46 C.F.R. § 545.4. Because a claimant must establish all five elements to prevail, failing to establish even one element means a claim cannot succeed.

1. The ALJ correctly determined that MTL failed to show a normal, customary, and continuous practice

First, the ALJ correctly determined that MTL had failed to show the conduct alleged was a “normal, customary, and continuous” practice, and so the second element required to establish a violation of 46 U.S.C. § 41102(c) was not present. *See* Decision at 26-29. As explained above, the ALJ concluded that

MTL had failed to show a normal and customary practice under standards in prior FMC cases involving a limited number of shipments. *Id.* at 26-28. The ALJ determined that the record indicated that the Ukraine issues were caused by “a unique disruption as a result of war,” whereas the Libya issue was caused by a violation of export rules, and the other rolled shipments were caused by documentation issues and an admitted CMA error. *Id.* at 28. The ALJ found MTL’s reliance on allegations in FMC Docket No. 18-07 and some complaints by other shippers about delays in Constanta to lack sufficient detail and evidentiary weight. *Id.* The ALJ also noted that in the *Crocus* case, the Commission had rejected the same type of disparate allegations as insufficient when made against MTL itself. *Id.* at 29; *Crocus Investments*, 2021 WL 3732849, at *8-12. And the ALJ correctly concluded that the record here reflected “unique and isolated events” as to the eight containers, not a prohibited practice. Decision at 29.

In its exceptions, MTL makes assertions that appear to suggest it believes there was evidence of a sufficient practice here, but even if that is MTL’s view, it is incorrect. MTL argues at one point that it is “reasonable to believe” that an internal CMA email about getting consignees to pick up 22 containers because demurrage and storage charges were accruing indicates CMA was creating delay in order to collect more fees from other CMA customers. Exceptions at 7. But the email actually seems to support the ALJ’s findings on the issue, as by its terms the message indicates that CMA is trying to have containers picked up so fees do *not* increase. At another point, MTL briefly addresses the ALJ’s conclusion that MTL’s reliance on the concerns of other shippers as to the idling of containers was insufficient, claiming that “[t]his is because” CMA produced more than 20,000 documents on the discovery deadline, ostensibly preventing MTL from developing more detailed evidence. *Id.* at 8-9. MTL’s statement seems to concede that it did not make its case as to the “normal, customary, and continuous” element on the existing record. Finally, MTL briefly describes the allegations in FMC Docket No. 18-07, presumably in order to show a practice by CMA. *See* Exceptions at

20. But as the ALJ found, those claims in a different matter from years earlier are insufficient to show a prohibited practice here. *See* Decision at 28. It is also notable that the matter ended in a settlement, without any findings of fact. *See* FMC Docket No. 18-07.

2. The ALJ correctly determined that MTL failed to show CMA's conduct was unreasonable as to most of the containers

The ALJ also correctly determined that MTL had failed to establish the fourth element of a section 41102(c) violation, that CMA's conduct was not just and reasonable, as to all but one of the eight containers at issue. *See* Decision at 29-35. As an initial matter, the ALJ found that most of MTL's claims were not specifically connected to the containers and did not clearly explain what conduct was allegedly unreasonable under the statute. *Id.* at 30.

As to the Ukraine shipments, the ALJ correctly found that the record of events over the relevant months in 2022 showed delay caused by the war-related diversions. *See* Decision at 30-31. In its exceptions, MTL includes chronological discussion of what happened with those five containers, apparently to show that CMA's conduct was slow, unresponsive, and beyond "mere delay," and thus presumably consistent with the claim that CMA's overall goal was to increase storage and demurrage revenues, rather than to move the cargo quickly. Exceptions at 5; *see id.* at 2-7, 12-14. And the record does reflect efforts by CMA personnel to obtain agreement from MTL and others to pay such charges before the cargo would be moved. *See* Decision at 13, 14.

But that does not show that CMA's conduct as to the Ukraine shipments was unreasonable, as opposed to simply being part of a group of delays and errors related to the sudden closure of Ukraine's ports, including changes of destinations and consignees. *See* Decision at 7-17 (findings of fact), 30-31 (legal conclusions). It may be that the length of some delays in the record would not be

reasonable under other circumstances, but the disruptions involved here appear to have been very unusual. *See* Decision at 11 (MTL owner describing requests for a change in destination as “very rare” for MTL). In addition, the record indicates that some of the delays were attributable to MTL or others. *See* Decision at 8-12 (MTL’s requests for changes of destination and consignee for the shipments do not appear to have been completed until March 25, 2022, about a month after CMA’s public notice of the Ukraine port closures); *id.* at 15 (describing July-August 2022 interactions as to Interfracht’s position that MTL had “designated it as consignee of the four shipments without its approval or confirmation” and Interfracht’s refusal to take delivery of containers until charges were removed). Finally, the fact that CMA waived all charges before the containers were picked up—which MTL does not appear to dispute—cuts against MTL’s central claim that CMA’s conduct was intended to unreasonably increase such fees. *See* Decision at 31.

As to the 2020 Libya shipment with the jet ski, the ALJ’s determination that it was reasonable for CMA to roll the container due to the EU customs rule in this case was correct. *See* Decision at 31-32. The ALJ noted that CMA’s booking confirmation had made clear that cargo found to violate customs rules would be rolled and charges would be assessed. *See id.* at 17, 31. In its exceptions, MTL appears to again question whether jet skis were really covered by the EU restriction. Exceptions at 15-16. But the ALJ cited EU regulatory provisions indicating that jet skis were covered and noted that MTL’s own witnesses had admitted they were. *See* Decision at 17-18, 31-32. The ALJ also rejected MTL’s claim, made again here, that jet skis were not really prohibited because others were shipping them to Libya, noting that MTL’s claim was based on a quote to transport boats and jet skis from another carrier, which does not establish that such transport was lawful in the current case. *See id.* at 31. MTL also appears to complain that CMA’s communications about the EU rule and its demurrage charges were inadequate, but it does not show that those actions were unreasonable under the statute. *See* Exceptions at 15-16.

Finally, the ALJ's ultimate conclusions with regard to the two other rolled shipments were correct. *See* Decision at 32-33. For the 2021 shipment, the ALJ found that CMA's conduct in changing the documentation deadline only 12 hours in advance, with no notice to MTL other than an updated website, was unreasonable. *Id.* at 32-33. That decision is upheld, as such notice was not adequate in the specific situation described here. Of course, MTL would also have to show that all four other required elements were present in order to establish a section 41102(c) violation as to that container.

For the 2022 shipment, CMA admitted the shipment was erroneously rolled, but the ALJ found that MTL had not adequately supported its claims of unreasonable conduct and that the situation appeared to be an isolated incident. *See* Decision at 33. The isolated nature of the incident goes more to whether the conduct was a continuous practice rather than whether it was reasonable. Thus, the correctness of the ALJ's determination on the element at issue now would depend on whether MTL had adequately shown the conduct at issue was unreasonable. In its exceptions, MTL devotes only two sentences to this container, arguing generally that CMA's conduct did not promote the efficient movement of cargo, that CMA took 10 months to waive related demurrage charges, and that CMA failed to advise MTL that demurrage would continue to accrue while the matter was being discussed. *See* Exceptions at 17. Such claims may describe potentially unreasonable conduct, but MTL does not provide adequate detail or evidence to support them. *See id.* The ALJ's findings of fact do appear to show that about eight months passed between the time MTL first disputed the basis for the rolling and when CMA waived the demurrage charges. *See* Decision at 21. But MTL does not claim that it paid any demurrage charges. Nor does it suggest that any delivery delay caused by the rolling was unreasonable. On balance, while this is a closer call than the other determinations above, MTL has failed to show that CMA's handling of the container was unreasonable. And again, a successful section 41102(c) claim would require a showing that all other required elements were present.

3. The ALJ permissibly determined that MTL failed to show CMA's conduct was the proximate cause of damages to MTL

Finally, the ALJ permissibly determined that MTL had failed to establish the fifth element of a section 41102(c) violation, that CMA's conduct was the proximate cause of a claimed loss by MTL. *See* Decision at 35-37. To the extent that analysis encompasses an evaluation of whether MTL has adequately established reparations or damages, that determination is reviewed under an abuse of discretion standard, as explained above.

The ALJ noted that claimed losses had to be shown with "reasonable certainty," but the ALJ properly found the evidence in the record too limited and speculative to meet that standard. *See* Decision at 35-37. The ALJ found that the record did not show that MTL had ever actually paid any demurrage charges. *Id.* at 36. With regard to other losses, MTL's complaint had alleged damages "including loss of business to MTL." *Id.* at 35. But MTL provided no tax returns, no profit and loss statements, and no expert testimony. *See id.* at 37. Leaving aside the evidence the ALJ struck because it was presented for the first time with MTL's reply brief, which will be discussed later, MTL's only supporting evidence was the testimony of its owner, Solovyeva. *Id.* at 36-37. Solovyeva claimed a loss of \$82,000 per year because of the loss of MTL's customer Kodryanka, as well as the loss of unspecified other business as a result of reputational damage, and unspecified damage from the loss of business from MTL's customer Almotwasit. *Id.* But the ALJ found no adequate link shown between those claimed losses and CMA's conduct, including no evidence from MTL customers. *Id.* at 37. And the ALJ found that MTL's failure to produce documentation of its alleged loss of business in response to CMA's discovery requests supported a negative inference that the requested material would not support MTL's claims. *Id.*

In its exceptions, MTL does not claim that it paid any demurrage charges for the eight containers at issue, but it does argue

that it lost profits, relying on Solovyeva's testimony as well as the material the ALJ permissibly excluded. *See* Exceptions at 17-20. MTL cites cases saying that business owners can testify as to lost profits, and it quotes Solovyeva's testimony, which contains the \$82,000 claim noted above, as well as general assertions about lost business and reputational damage apparently as a result of the issues with the Ukraine shipments. *Id.* at 17-19. But while a business owner may be qualified to testify as to this kind of damage, the ALJ permissibly found that the statements relied on *here*, without any documentary or other evidentiary support, are not sufficient to show that CMA's conduct actually caused such claimed losses or to show the specific amount of such losses. And it was within the ALJ's discretion to impose an adverse inference sanction because of MTL's failure to produce such documentation in response to CMA's requests. *See* Decision at 37.

In sum, the ALJ permissibly determined that MTL failed to show CMA's conduct was the proximate cause of any claimed loss.

C. The ALJ's decisions regarding certain discovery and evidentiary matters were well within the ALJ's discretion

In its exceptions, MTL's main claims seem to be that the ALJ erroneously: (1) declined to impose an adverse inference on CMA under 46 C.F.R. § 502.150(b) for failing to produce three documents; (2) granted CMA's motion to strike the argument and three documents as to alleged lost profits that MTL submitted for the first time with its reply brief; and (3) denied MTL's motion to reconsider that strike order or alternatively to reopen discovery. But the challenged decisions were within the ALJ's discretion to address discovery and evidentiary matters.

As a preliminary matter, it is necessary to address CMA's general claims that MTL's arguments as to at least some of the discovery and evidentiary issues are untimely and have been waived. *See* Response at 1-8. CMA appears to argue that MTL was

required to immediately seek leave to appeal interlocutory rulings by the ALJ under 46 C.F.R. § 502.221 or else waive the right to raise such claims before the Commission. *See* Response at 6. However, section 502.221 merely provides an option to ask the ALJ for leave to appeal orders other than dismissals while the proceeding is “still before” the ALJ, in cases where that is necessary to avoid the substantial harms or undue prejudice described in section 502.221(a). The normal route for a party to seek Commission review of such rulings is at the same time the party challenges decisions under section 502.227. It is true that section 502.227(a)(1), in describing exceptions to initial decisions, mentions exceptions to “such decision,” as CMA notes (Response at 3), and that could be read to limit the scope of review to what is explicitly found in an initial decision. But that passing reference does not confine parties to the unusual procedure in section 502.221 as the only way to obtain review of interlocutory rulings, given the overall structure of sections 502.221 and 502.227, as well as the inefficiencies such an interpretation would create, as discussed below.

1. It was within the ALJ’s discretion to deny MTL’s request for an adverse inference

The ALJ permissibly rejected a request in MTL’s reply brief for a negative inference that the real reason for CMA’s alleged delays in loading the containers at Constanta and releasing them in Bremerhaven was to increase demurrage charges. *See* Decision at 33-35. As noted above, MTL argued that that inference was justified because of CMA’s failure to produce three emails from CMA to an agent of MTL’s client Kodryanka. *See id.* at 33. The first email basically urged the agent to pick up one of the containers because demurrage and storage charges were accruing, and the latter two appeared to tell the agent that payment and consignee information had to be confirmed for the container to be loaded for Bremerhaven. *See id.* The ALJ declined to impose the discovery sanction requested under 46 C.F.R. § 502.150(b) because the record did not show that CMA had willfully disregarded its discovery obligations. *Id.* at 34-35. The ALJ found that MTL had not specified a document request

that called for the production of those emails; MTL admitted that it had itself provided two of the three emails to CMA in its own earlier document production; CMA did produce 20,000 documents to MTL by the April 16, 2024 deadline; and the content of the emails themselves was merely cumulative of other evidence and insufficient to support a negative inference. *See id.* at 35. These findings are supported by the record and the ALJ's conclusion was well within her discretion to resolve discovery issues.

In its exceptions, MTL appears to argue that because CMA failed to produce "key evidence" about CMA's practices relating to demurrage, the ALJ should have granted MTL a negative inference that CMA failed to release the Ukraine containers in order to increase such charges, rather than because of delays genuinely related to sorting through the many diverted containers and processing changes of destination and consignee. *See* Exceptions at 1, 7. Elsewhere in the exceptions, MTL describes the three emails cited to the ALJ as a basis for the negative inference MTL sought. *Id.* at 2, 3, 4-5.

However, MTL's claims here add nothing to what it argued to the ALJ, and the ALJ's rejection of those claims was permissible. In particular, MTL does not show that CMA's failure to produce these three emails violates the specific terms of an order of the ALJ, as necessary to obtain an adverse inference sanction under 46 C.F.R. § 502.150(b). *See* Response at 10-11. In fact, MTL does not show why it should be permitted to raise the matter for the first time in a reply brief, when it clearly knew of the production issue well before initial briefs were filed. Finally, a negative inference is typically designed to sanction a party for failing to produce information on a position it is taking, directing that the issue be resolved against that party. But here, MTL has the information at issue, and as the ALJ indicated, it does not establish the proposition that MTL claims. At most, the emails indicate that, at the time they were sent, CMA sought to ensure that it could collect demurrage and storage charges, which it later abandoned; the emails do not show that it was acting to unreasonably increase such charges.

2. It was within the ALJ's discretion to grant CMA's request to strike material as to lost profits that MTL submitted for the first time with its reply brief

As noted above, the ALJ granted CMA's motion to strike material about lost profits that MTL submitted for the first time with its reply brief. *See* Decision at 3; Order on Motion to Strike. The material struck was several paragraphs of argument and three exhibits: a transaction report purportedly related to MTL's client Kodryanka; a profit statement purportedly related to MTL's client Almotwasit; and a certification for those two exhibits. *See* Order on Motion to Strike at 1-2. The ALJ noted that MTL had failed to produce such lost-profits evidence prior to the close of discovery, even though CMA had requested it. *Id.* at 2-3. And the ALJ found no cause to disregard the usual rule that arguments not presented in the initial brief are waived, noting that MTL's complaint that CMA had produced 20,000 documents on the discovery deadline did not justify MTL's failure to provide the evidence at issue. *See id.* at 3.

In its exceptions, MTL does not appear to argue directly that the strike order was erroneous. But it does argue that the motion to reconsider that order should have been granted, and it does renew at least some arguments made in its opposition to the motion to strike. *See* Exceptions at 11. In particular, MTL argues that the two lost-profits exhibits caused no prejudice to CMA because they were submitted in response to CMA's arguments in the initial brief, and in any event, they were "based on the documents previously provided and documents in CMA's possession." *Id.* MTL also claims that the exhibits could only have been created and provided by Solovyeva, who had health issues leading up to "major surgery on May 22nd." *Id.*

MTL's claims are unavailing. As the ALJ noted, CMA requested lost-profits information in discovery. *See* Order on Motion to Strike at 2-3. In addition, it was MTL's burden to provide

this information as part of proving its own case by a preponderance of the evidence, and not something that merely arose because CMA raised the issue in its opposition. *See* 5 U.S.C. § 556(d); 46 C.F.R. § 502.203; *Maier Terminals*, 2014 WL 9966245, at *14. MTL knew at the time of the ALJ's February 27, 2024, scheduling order that discovery would close on April 16 and that MTL's opening brief would be due on May 14. *See* Order on Respondent's Motion for Reconsideration and Second Revised Scheduling Order (Doc. 52) (Feb. 27, 2024). It appears that Solovyeva's health issues were also a known factor in the case at least as early as January 2024, as they apparently led to the rescheduling of her deposition. *See* Order on Respondent's Partial Consent Motion to Extend Discovery (Doc. 47) (Jan. 23, 2024). In addition, MTL's website states that the company has 30 employees, presumably including logistics manager Julia Privalova, who has worked there since 2004 and who was deposed in this case. *See* MTL, <https://www.mtlworld.com/> (last visited June 3, 2025); Decision at 6. Plainly, MTL had the time and resources to provide lost-profits evidence in a timely way under the ALJ's schedule. As CMA notes, MTL also failed to file a motion to supplement the record under 46 C.F.R. § 502.216, *see* Response at 14, although since the evidence at issue had long been within MTL's own control, it is not clear how strong such a motion would have been. Finally, MTL's claim that CMA suffered no prejudice because the exhibits were "based on" some unspecified other material is vague and unsupported. The ALJ's striking of these exhibits was not an abuse of discretion.

3. It was within the ALJ's discretion to deny MTL's request to reconsider the strike order or alternatively to reopen discovery

As noted above, MTL filed a motion for reconsideration of the strike order, or in the alternative to reopen discovery, but it was well within the ALJ's discretion to deny that request. *See* Decision at 3; Order on Motion for Reconsideration. As to reconsideration, the ALJ found that MTL had failed to meet the high standard to prevail on such a motion, which essentially requires that a party

identify a clear error, newly discovered evidence, or a change in the law calling the ruling into question, none of which MTL had done. *See* Order on Motion for Reconsideration at 2-3 (citing federal cases). The ALJ found that MTL's renewed argument that CMA's production of documents on the discovery deadline had prevented it from providing the relevant material earlier was incorrect. *Id.* MTL could have sought more time to prepare its opening brief. *Id.* And in any case, the ALJ found, any difficulties presented by the large CMA production could not justify MTL's failure to provide lost profits evidence that was within its own control. *Id.* at 3. The ALJ also denied MTL's motion to reopen discovery, noting that MTL had failed to explain what new material it would seek, and that its request came too late. *Id.*

In its exceptions, MTL clearly does challenge the ALJ's denial of its motion for reconsideration or to reopen discovery. *See* Exceptions at 9-11. At the outset, it is necessary to address CMA's claims that MTL's challenge is untimely. *See* Response at 11-12. CMA appears to argue that MTL was obligated to seek to appeal the ALJ's Order on Motion to Strike and Order on Motion for Reconsideration earlier, but as explained above, that is incorrect. Those orders were interlocutory ones subject to 46 C.F.R. § 502.221, but section 502.221 merely provides an *option* to ask the ALJ for leave to appeal orders other than dismissals while the proceeding is "still before" the ALJ, in the unusual case where that is necessary to avoid the harms or prejudice described in section 502.221(a). Thus, the normal route to seek Commission review of such rulings is at the same time as when challenging decisions under section 502.227, as occurred here. If parties were required to seek to appeal every interlocutory ruling immediately or else waive their right to do so, it could result in many separate appeals to the Commission during the course of a single matter, a result that would be inefficient and burdensome for all concerned. Indeed, if CMA's view was correct, it could have led to two additional appeals in this case just in late 2024, before the Initial Decision was issued in December 2024.

FMC cases support the above principles. The case on which CMA relies involved a failure to timely appeal an *order dismissing claims*, which is a distinct situation governed by section 502.227(b). *See* Response at 11; *Gov't of Guam v. Sea-Land Serv.*, FMC Docket No. 89-26, 2005 WL 1637722, at *9-12 (FMC July 11, 2005). Orders dismissing a proceeding in whole or in part are treated similarly to initial decisions under section 502.227, and they must be appealed promptly. By contrast, other interlocutory orders are governed by section 502.221 (“Appeal from ruling of presiding officer other than orders of dismissal in whole or in part”), and seeking to appeal right away is optional. Recently, an ALJ confirmed, in denying a motion for leave to appeal, that parties may challenge such interlocutory ALJ orders when later filing exceptions under section 502.227. *See Bed Bath & Beyond Inc. v. Orient Overseas Container Line Ltd.*, FMC Docket No. 23-02, 2023 WL 7491910, at *3 (ALJ Nov. 9, 2023) (in “the absence of immediate Commission review, the Commission can always review any and all issues raised before the ALJ if and when exceptions are filed to [the] Initial Decision.” (cleaned up)).

Turning to the merits of MTL’s claims here, in its exceptions MTL largely presents the same arguments that the ALJ permissibly rejected. *See* Exceptions at 9-11. MTL again emphasizes that a January 2024 ALJ order barred further motions, thus ostensibly limiting MTL’s ability to seek the additional time MTL claims it needed as a result of CMA’s large production on the last day of discovery in April 2024. It is true that a January 2024 ALJ order stated that, in light of the case’s overall timing, no more motions could be filed and any further concerns about discovery should be raised in the parties’ merits briefs. *See* Order on Motions to Compel (Doc. 48) (Jan. 31, 2024) at 9. Nevertheless, as the ALJ noted, CMA soon moved for reconsideration and obtained an extension of time in light of new developments, persuading the ALJ to extend the discovery deadline by two months, from February 15 to April 16, 2024. *See* Order on Motion for Reconsideration at 2-3; Order on Respondent’s Motion for Reconsideration and Second Revised Scheduling Order (Doc. 52) (Feb. 27, 2024). In light of that, MTL

could have sought an extension if it felt it needed one. And in any event, MTL fails to show how CMA's large production on April 16 prevented MTL from providing lost-profits evidence that had long been in MTL's own control with its opening brief on May 14. *See* Order on Motion for Reconsideration at 2-3. The denial of MTL's motion was well within the ALJ's discretion.

With regard to the motion to reopen discovery, MTL asserts that it needs more time to "make follow up requests for documents" related to the documents CMA produced on the last day of discovery in April 2024. Exceptions at 11. But MTL still does not clearly explain what specific documents it would seek, or why it waited until months after its reply brief to make such a request. *See* Order on Motion for Reconsideration at 3; Order on Motions to Compel at 9 (directing parties to raise further discovery issues in their merits briefs). The ALJ's denial of MTL's motion to reopen discovery was not an abuse of discretion.

III. CONCLUSION

The Commission hereby:

- (1) **DENIES** Complainant MTL's January 8, 2025 Exceptions; and
- (2) **AFFIRMS** the ALJ's December 18, 2024 Initial Decision.

By the Commission.

David Eng
Secretary